

# Fleet investment committee

Five-year keep, replace or lease decision

Synthetic portfolio analysis. Recommendations are proposed; no employer outcomes are claimed.

## Decision requested

Prefer leasing under the base assumptions, subject to comparable quotes, mileage and tax usability validation. Its \$5,918 advantage over replacement is too narrow for an unconditional commitment.

## Financial case

Base after-tax PV cost is \$1,674,901 to keep, \$1,447,379 to replace and \$1,441,461 to lease. Replacement requires \$685,500 initial unlevered cash, within the synthetic \$700,000 budget. Lease savings versus keep are \$233,440; replacement savings are \$227,522.

| Case            | Keep PV cost | Replace PV cost | Lease PV cost |
|-----------------|--------------|-----------------|---------------|
| Base            | \$1,674,901  | \$1,447,379     | \$1,441,461   |
| Fuel shock      | \$1,871,422  | \$1,587,664     | \$1,541,152   |
| Low utilization | \$1,358,375  | \$1,183,607     | \$1,159,722   |

## Tradeoffs and alternatives

Replacement consumes upfront cash and bears residual-value risk. Leasing preserves liquidity but adds contractual payments, usage limits and vendor dependency. Keeping the fleet avoids purchase cash but exposes higher modeled maintenance and downtime.

# Approval and execution

## Conditions before approval

Obtain matched service-capacity quotes, validate lease mileage, full immediate tax usability, residual values and borrowing terms. The loan is hypothetical and the lease roll-forward is not full accounting-standard implementation.

| Proposed owner      | Timing             | Required action                                   |
|---------------------|--------------------|---------------------------------------------------|
| Fleet + Procurement | Day 10             | Obtain comparable purchase and lease quotes       |
| Finance + Treasury  | Day 15             | Approve capital and liquidity conditions          |
| Finance             | Before commitment  | Validate tax and residual-value assumptions       |
| Fleet + Finance     | Days 30 / 90 / 180 | Review mpg, maintenance and downtime against plan |

## Post-decision review

The following observations are a separate synthetic review exercise. They demonstrate follow-through without claiming realized results.

| Legacy pre-tax exercise | Plan      | Simulated observation | Response                                                       |
|-------------------------|-----------|-----------------------|----------------------------------------------------------------|
| Annual maintenance      | \$54,000  | \$58,000              | Review repair mix                                              |
| Fuel economy            | 7.2 mpg   | 6.9 mpg               | Review duty cycle                                              |
| Annual fleet downtime   | 24 days   | 30 days               | Review availability                                            |
| Net upfront cash        | \$660,000 | \$672,000             | Original pre-tax scope; not \$685,500 after-tax initial outlay |

# Model basis and review

## Calculation method

Five-year after-tax unlevered cash flows include disposal taxes, new-asset tax depreciation, transition costs, mileage overages and terminal proceeds. A separate purchase loan and simplified lease obligation roll-forward keep financing distinct from unlevered NPV.

## Material limitations

immediate full use of modeled tax deductions is assumed. The hypothetical loan is not approved financing. Retire the earlier pre-tax replacement recommendation when presenting this expanded after-tax case. Nine sensitivity combinations were checked against the active build in the spreadsheet engine; desktop Excel behavior remains unverified.

## Scenario capture and refresh

The comparison uses three sequential recalculations of one active Excel build, captured October 3, 2026. Change Assumptions D5 to select a case. Recalculate in Excel and refresh comparisons after changing inputs; PDF figures are a dated snapshot.

## Ownership represented

Quincy Jones developed this independent portfolio analysis with AI assistance. The package includes the model, controls, alternatives and proposed decision workflow. Proposed corporate owners are roles inside the case, not positions held by Quincy.

## Forensic review

Independent calculations, reconciliation checks and input-change tests were completed before publication. The downloadable audit explains scope and engine limitations. Artifact-tool input edits and exported caches were checked. A second LibreOffice engine reproduced 2,134 numeric base-case formula caches. Desktop Microsoft Excel was not available; compatibility testing is limited to the stated engines.

## Sources

Synthetic case; expanded model reviewed October 3, 2026. Construction and review used AI assistance. Review report and reproducible audit sources accompany the workbooks.